

INTERNAL AUDIT REPORT

Anti-Fraud Investigation Audit | Report No. AR-02349

Report ID:	AR-02349
Audit Type:	Anti-Fraud Investigation Audit
Report Date:	January 20, 2024
Audit Period:	2023-05-15 to 2024-01-12
Lead Auditor:	Maria Miller (EMP-577)
Reviewed By:	Steven Martin (EMP-34855)
Primary Vendor Reference:	VertiLink Distributors Inc (VND-00366)
Subject Employee Reference:	Jessica Brown (EMP-5519)
Primary Transaction Reference:	TXN-697697
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This anti-fraud investigation audit covered the period 2023-05-15 to 2024-01-12 and examined transactions, approvals, and compliance records associated with vendor VertiLink Distributors Inc (VND-00366) and employee Jessica Brown (EMP-5519). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-697697 (amount 7,709.17 CAD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-004552	CRITICAL	APPROVAL LIMIT	Approval granted by EMP-66506 who was not authorised to approve amounts above \$5,000. Transaction value: \$385,897.
FND-004710	MEDIUM	APPROVAL LIMIT	Payment of \$101,207 approved at Level 1, which has a limit of \$25,000. Transaction exceeded limit by \$45,157.

Finding ID	Severity	Category	Description
FND-000863	MEDIUM	POLICY BREACH	Employee submitted Travel claim 75% above the authorised policy limit without prior exception approval.
FND-001842	HIGH	EXPIRED COMPLIANCE	Vendor VND-VND-00363 received payment of \$42,785 on 2022-03-22. Compliance certificate expired on 2020-07-22 — 478 days prior.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000250	HR RECORD	EVD-BJH-2956	0.77
EVI-001589	CONTRACT RECORD	EVD-HDS-1557	0.74
EVI-003492	POLICY DOCUMENT	EVD-UFE-8139	0.78
EVI-003751	AUDIT REPORT	EVD-JOY-2474	0.99
EVI-004290	DNS LOG	EVD-WLE-0024	0.91
EVI-005396	DNS LOG	EVD-NSH-3155	0.88

5. RECOMMENDATIONS

- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.
- Restrict post-termination system access to prevent ghost-approver scenarios.
- Introduce automated system validation to block approvals exceeding the approver's authorised limit.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Maria Miller	EMP-577	2024-01-20
Reviewing Officer	Steven Martin	EMP-34855	2024-01-22